

BOARD MEETING OF THE CBA

MINUTES (03.08.2021)

On the Refinancing Rate

The CBA Board Meeting of August 3, 2021 attended by Governor M. Galstyan, Deputy Governor V. Abrahamyan, and Board Members A. Stepanyan, O. Aghasyan, H. Khachatryan, and D. Nahapetyan

The Board meeting opened with presentation of the Situation Report as of August 3, 2021. The inflation, external environment, and real, fiscal, financial and monetary sector developments were addressed.

The Board stated that deflation of 0.8% was registered in June of 2021 compared to deflation of 1.4% recorded in the same month of the previous year, in which case the **12-month inflation rate has increased to 6.5%**. The deflation during the month was primarily driven by a 2.1% drop in prices of item “Food products, beverages and tobacco”, whereas the prices of non-food products and service tariffs remained almost unchanged. In June, the **12-month core inflation rate** too, continued to speed up, reaching 7.8%.

The current 2021 developments in the external sector were presented; in the main partner countries of Armenia in the third quarter, the economic activity and aggregate demand continue to grow at rapid rates, as was expected, which is determined by positive results of the use of coronavirus vaccines on the one hand, and the implementation of considerably stimulative policies, on the other. As things stand now, high inflationary environment is persisting in the international commodity markets, where the oil price rise is especially significant. Influenced by the aforementioned trends, accelerating inflation and inflationary expectations is observed in the main partner countries of Armenia, prompting these countries to revise their inflation projections for 2021 upside. In such a circumstance, seeing the current inflation as an outcome of temporary factors of supply, the central banks in leading countries will further pursue a stimulative monetary policy in the forecast horizon, while looking to the possibility of gradually reducing or ending quantitative easing programs. On the other hand, central banks of a number of emerging economies, including the Central Bank of Russia, have tightened the monetary conditions by raising the policy rate.

The Board touched upon the current economic developments in Armenia, stating that growth rates of economic activity and domestic demand somewhat exceeded the Central Bank's expectations in the second quarter as well. Some positive deviation in economic activity growth mainly owes to high growths observed in agriculture and services sectors, which will carry on, according to the Central Bank estimates, in the upcoming quarters, too. The faster-than-expected increase of aggregate demand in the period under review continued to be driven by high growth in private consumption, large volumes of remittances from abroad, and rapidly growing external demand. At the same time, it was noted that remittances from the United States and other countries are still higher than anticipated, although the share of remittances from Russia is growing in line with expectations. Armenia's external balance position, it was also noted, is significantly improving, which is fostered by positive developments in the export from Armenia amid growing external demand and international prices of base metals, accelerated remittances, increased inflow of tourism, which is reflected in the domestic currency market of Armenia.

As to the situation in Armenia's financial market in June-July, the Board admitted that the short-term market rates kept on shaping around the CBA's policy rate. An increase in yields along the entire curve was observable in the government bond market. It was stated that trends in lending to the economy persisted in the banking system, i.e. the 12-month growth rate of total lending is slowing down, mainly due to the decline in consumer loans, whereas mortgage lending continues to grow at almost the same rate as in previous months.

The Board also addressed the issue of possible increase in inflation expectations in the face of the 12-month high inflationary environment. In this context, it was noted that the recent changes in domestic prices are more prone to an increase, according to estimates, while some rigidities happen when prices decrease, which is attributable to still persisting uncertainty about future inflationary expectations. At the same time, the 12-month headline inflation is expected to increase in the near future, mainly owing to the increase in seasonal food prices, while core inflation, which is primarily set to sustain the inflationary expectations, will decrease to some extent relative to previous projections, as the dram appreciates.

Following the presentation of the Situation Report and discussion on macroeconomic developments in external and domestic sectors, the Board began addressing the monetary policy directions and making decision on the policy interest rate. In view of economic and political uncertainties somehow reduced after the parliamentary elections, expected easing of inflation fueled by appreciating exchange rate thanks to the

improvement in the external balance, on the one hand, and the inflationary effects deriving from both the external and domestic demand developments, on the other, a **proposal to increase the refinancing rate by 0.25 pp was brought before the Board**. Vast majority of the members present at the meeting voiced the opinion that the monetary conditions should be tightened by a bigger step. The main arguments included the higher-than- expected inflationary impacts from the external sector (more stimulative environment for global demand, higher increases in international prices and freight rates), insufficient and delayed price response as the exchange rate appreciates, as well as the higher estimates about inflationary expectations and risk premium of the Republic of Armenia the Board had relative to what was underling the proposal. **As a result, the CBA Board decided to increase the refinancing rate by a bigger step - 0.5 pp**. With such a decision, the Board also stressed the necessity for quickly neutralizing the stimulative monetary policy stance and steering interest rates to the medium-term equilibrium in the future. At the same time, reaffirming the policy consistency to neutralize the risks of accelerating inflationary expectations as domestic demand grows, the Board considered the possible tightening of monetary conditions in the near future. Under such conditions, the 12-month inflation is projected to keep high up until the end of the year; it then will reduce gradually and stabilize around the 4% target in the forecast 3-year horizon.

The Board estimated that under still high uncertainty over economic outlooks, risks of inflation deviating from the mid-term projection path are balanced; should such risks emerge, the CBA will stand ready to respond accordingly, while fulfilling the objective of price stability. As the most obvious risks, the Board singled out two risks – spreading of a new wave of the pandemic in the world and Armenia and its economic consequences, and deep inflationary impact amid restoring global demand in the face of limited supply.

The Board approved the decision on interest rates of the CBA monetary instruments and the proposed press release, which are attached hereto.

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Deciding on the interest rate

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Interest Rates of Monetary Policy Instruments of the Central Bank of Armenia

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 7.0%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 8.5%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 5.5%.
4. This decision takes force on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,

Governor of the Central Bank

3 August, 2021

c. Yerevan

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PRESS RELEASE

03.08.2021

At the August 3, 2021 meeting, the CBA Board decided to raise the refinancing rate by 0.5 pp, setting it at 7.0%.

Deflation of 0.8% was recorded in June 2021 compared with deflation of 1.4% registered in the same month of the previous year, in which case the 12-month inflation has increased to 6.5%. The 12-month core inflation continued accelerating too, reaching 7.8% at the end of June.

In the third quarter of 2021, the economic activity and aggregate demand in the main partner countries to Armenia are rapidly recovering, in line with the CBA projections. In positive expectations of restoring global demand on the back of large-scale use of coronavirus vaccines in the world, high inflationary conditions are persisting in international commodity and food markets. Driven by the abovementioned developments and a number of temporary factors, higher-than-expected inflation rates are observed in the partner countries. In such a situation, the CBA Board continues to anticipate mostly an inflationary impact from the external sector on the Armenian economy.

As current developments of 2021 show, the Armenian economic growth rates are somewhat exceeding the expectations, largely determined by more positive developments in agriculture and services. Aggregate demand is also recovering at high rates, which continues to be driven by persistently high private consumption growth, larger-than-expected volumes of remittances from abroad, and rapid growth of external demand. The latter is also reflected in continuous improvement of Armenia's external balance. The aforementioned demand factor developments mainly point to sustained inflationary effects.

In view of expected macroeconomic developments in the global economy and Armenia, and the inflationary impacts deriving from them, the CBA Board finds it appropriate to continue raising the policy rate. At the same time, committed to neutralizing the risks of accelerating inflationary expectations amid growing domestic demand, the Board considers the necessity of possible tightening of monetary conditions in the near future. Under such conditions, the 12-month inflation is projected to remain high up until the end of the year, but will then gradually decrease and stabilize around the 4% target in the forecast horizon.

The CBA Board estimates that, amid persisting uncertainties over the economic outlook, the risks to inflation deviating from the projected mid-term path are balanced, and should they materialize, the CBA will stand ready to respond accordingly in fulfilment of the price stability objective.

**You can read detailed information about setting the interest rate level in Press Release (Minutes on Interest Rate) to be published by August 17, 2021.
Press Service of the Central Bank of Armenia**